the Dual Government and undertook to administer Bengal directly through its own servants. But the evils inherent in the administration of a country by a purely commercial company soon came to the surface.

The East India Company was at this time a commercial body designed to trade with the East. Moreover, its higher authority was situated in England, many thousands of kilometres away from India. Yet, it had come to wield political power over millions of people. This anomalous state of affairs posed many problems for the British government. What was to be the relation of the East India Company and its possessions to the government in Britain? How were the Company's authorities in Britain to control the great multitude of officials and soldiers stationed in far away India? How was a single centre of control to be provided in India over the far-flung British possessions in Bengal, Madras and Bombay?

The first of these problems was the most pressing as well as the most important. It was also closely interwoven with party and parliamentary rivalries in Britain, the political ambitions of English statesmen, and the commercial greed of English merchants. The rich resources of Bengal had fallen into the hands of the Company whose Directors immediately raised dividends to 10 per cent in 1767 and proposed in 1771 to raise the rate further to 12½ per cent. The Company's English servants took advantage of their position to make quick fortunes through illegal and unequal trade and the forcible collection of bribes and 'gifts' from Indian chiefs and zamindars. Clive returned to England at the age of 34 with wealth and property yielding £40,000 a year.

The Company's high dividends and the fabulous wealth brought home by its officials excited the jealousy of other sections of British society. Merchants kept out of the East by the monopoly of the Company, the growing class of manufacturers and, in general, the rising forces of free enterprise in Britain wanted to share in the profitable Indian trade and the riches of India which the Company and its servants alone were enjoying. They, therefore, worked hard to destroy the Company's trade monopoly and, in order to achieve this, they attacked the Company's administration of Bengal. They also made the